

401(k) account. Any money you contribute can be deducted from your taxable income. Because this money is not taxed when you put it into your account, you will need to pay taxes on it later, when you retire and withdraw the money. Therefore, this option is typically better for people who believe they will receive less income during retirement, which would put them into a lower tax bracket. For example, if you make \$100,000 per year while you are working, but will only save enough to receive \$40,000 per year during retirement, you could choose a traditional 401(k) in order to ultimately foot a lower tax bill.

The **Roth 401(k)** works the opposite way. Instead of paying taxes when you retire and withdraw the money, you pay taxes before you invest—and you get to withdraw the money tax-free when you retire. Unlike the traditional option, contributing to a Roth 401(k) will not lower your taxable income while you are working. However, once that money goes into your Roth account, it is all yours, and you can gain some comfort in knowing you have already paid taxes on it.

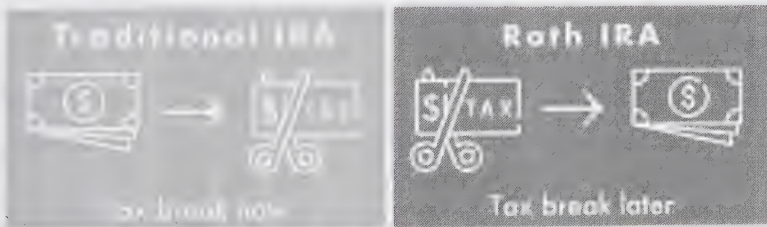


Figure 9.1. Traditional versus Roth IRA

This option is usually best for people who have been saving a lot and can predict they will be in a higher tax bracket when they retire. Many people also prefer Roth because they argue that you cannot predict future tax brackets. For instance, maybe in the